Northstar Technologies — Expense Reimbursement Policy

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1. Purpose

This policy establishes the requirements for submitting, reviewing, approving, and reimbursing business expenses incurred by employees of Northstar Technologies.

Its purpose is to ensure that expenses are necessary, reasonable, properly documented, and directly related to authorized business activities.

The policy also defines employee and manager responsibilities, documentation requirements, approval procedures, reimbursement timelines, and the handling of exceptions.

2. Scope

This policy applies to employees who incur eligible expenses on behalf of Northstar Technologies.

It covers expenses associated with approved business travel, customer meetings, professional development, authorized purchases, and other legitimate business activities.

Contractors and other nonemployee workers must follow the expense provisions established in their agreements and any applicable company procedures.

Expenses paid directly by the company should not be submitted for personal reimbursement.

All claims must comply with applicable company policies, employment arrangements, and legal requirements.

3. General Reimbursement Principles

An expense may be reimbursed when it satisfies the following conditions:

- It has a legitimate business purpose.
- It is reasonable in amount and appropriate to the activity.

- It was incurred within the employee's authorized responsibilities.
- It has the required approval.
- It is supported by the documentation required under this policy.
- It complies with applicable spending limits and company procedures.

Employees must obtain approval before incurring an expense whenever the relevant procedure requires advance authorization.

An expense is not automatically reimbursable merely because it was incurred while an employee was working.

When uncertain whether a purchase qualifies, employees should consult their manager or Finance before committing company funds.

4. Eligible Expense Categories

Depending on business needs, authorization, and applicable limits, eligible expenses may include the following categories.

4.1 Business Travel

Eligible expenses may include approved transportation, accommodation, meals, airport transfers, parking, and other necessary travel costs.

Employees must comply with the Business Travel Policy and obtain the required travel authorization.

Personal travel costs, unauthorized upgrades, traffic fines, and expenses unrelated to the approved business purpose are not reimbursable.

4.2 Meals and Customer Meetings

Reasonable meal expenses may be reimbursed when they are directly associated with an approved business activity.

Claims must identify the business purpose and, where required, the participants involved.

Employees must follow applicable meal limits and obtain advance approval when required.

Personal meals unrelated to an eligible business activity are not reimbursable unless a separate company policy or applicable legal requirement provides otherwise.

4.3 Professional Development

Approved job-related training, certification examinations, conferences, and workshops may qualify for reimbursement.

Employees must obtain the required approval before registering or paying for a program.

Claims may require proof of payment, attendance, or successful completion, depending on the terms of the approval.

Unapproved courses and personal educational expenses are not automatically eligible.

4.4 Equipment and Office Supplies

Necessary equipment, peripherals, and office supplies may qualify when purchased for an approved business purpose.

Employees must follow procurement and IT approval procedures before purchasing technology or equipment when those procedures apply.

Where possible, equipment should be purchased directly by the company rather than through an employee reimbursement claim.

Employees must not purchase unauthorized software, hardware, subscriptions, or services and assume that the company will reimburse the cost.

4.5 Other Approved Business Expenses

Other expenses may qualify when they are necessary for an authorized business activity and have received the required approval.

Examples may include approved customer-event costs, business-related registration fees, or other operational expenses.

Finance may request additional information to determine whether an expense qualifies under this policy.

5. Non-Reimbursable Expenses

The following expenses are generally not reimbursable:

- Personal purchases unrelated to company business.
- Expenses incurred by family members or other unauthorized individuals.
- Personal entertainment or leisure activities.
- Traffic fines, parking penalties, and other personal penalties.

- Unauthorized travel upgrades or luxury services.
- Duplicate claims for the same expense.
- Expenses already paid directly by the company.
- Alcoholic beverages unless explicitly authorized under an applicable policy.
- Personal subscriptions or services without an approved business justification.
- Expenses incurred outside an approved business purpose.
- Costs resulting from deliberate policy violations or misrepresentation.

This list is not exhaustive. Finance may determine that an expense is ineligible when it does not meet the requirements of this policy.

Any legally required reimbursement or entitlement will be handled in accordance with applicable law.

6. Advance Approval

Employees must obtain advance approval for expenses when required by the applicable policy, spending limit, or procurement procedure.

Approval requests should include:

- The proposed purchase or expense.
- The business purpose.
- The estimated amount and currency.
- The relevant project, customer, or department.
- Supporting information needed to evaluate the request.

Managers must review whether the expense is necessary, reasonable, and consistent with the approved budget.

Additional approval from a department director or Finance may be required for unusually expensive purchases, exceptions to spending limits, or expenses outside normal departmental activities.

Employees must retain evidence of the approval for submission with the claim when required.

7. Receipts and Supporting Documentation

Employees must provide itemized receipts or other acceptable supporting documentation for expenses requiring evidence of payment.

A reimbursement claim should include:

- The transaction date.

- The amount and currency.
- The vendor or service provider.
- The expense category.
- The business purpose.
- The relevant project, trip, or business activity.
- The required receipt or supporting document.
- Evidence of prior approval, when applicable.

A payment confirmation alone may not be sufficient if the procedure requires an itemized receipt.

If a receipt is lost or unavailable, the employee must follow the documented exception process and explain why the receipt cannot be provided.

Finance may request additional documentation before approving the claim.

Employees must not alter receipts, misrepresent transaction details, or submit fabricated supporting documents.

8. Submission Procedure

Employees must submit reimbursement claims through the company's approved expense management system or another designated process.

Each claim must contain accurate information and all required supporting documentation.

Employees should organize expenses by category and associate them with the relevant business activity.

Claims should be submitted within 15 calendar days after the expense is incurred, unless Finance communicates a different deadline for the applicable expense category.

For business travel, the applicable deadline is 15 calendar days after the trip ends, as specified in the Business Travel Policy.

Employees should review their claims before submission to identify duplicate entries, missing receipts, incorrect amounts, or other errors.

Submitting a claim does not guarantee reimbursement.

9. Review and Approval

The reimbursement process includes managerial review and financial verification.

Managerial review: The employee's manager evaluates the business purpose, reasonableness, authorization, and relevance of the expense.

Finance review: Finance verifies the claim's documentation, policy compliance, calculation accuracy, and eligibility for reimbursement.

Claims requiring additional approval must be routed to the appropriate approver before payment.

A claim may be returned when information is incomplete, the business purpose is unclear, or required documentation is missing.

Employees must correct returned claims and resubmit them through the approved process.

Finance may reject expenses that violate company policy or lack sufficient justification.

10. Reimbursement Timeline

Approved reimbursements are normally processed within 10 business days after Finance receives a complete and approved claim.

This period begins when all required approvals and supporting documents have been provided.

Processing may take longer when a claim requires additional verification, clarification, correction, or exception approval.

Employees should monitor the status of their claims through the designated system and respond promptly to requests for additional information.

If an approved reimbursement has not been processed within the normal timeframe, the employee should contact Finance and provide the relevant claim reference.

11. Currency and Exchange Rates

Expenses incurred in a foreign currency must be submitted with the original transaction amount and currency.

Employees should provide the converted amount and exchange-rate evidence when required by the expense management process.

The company will use the exchange-rate method specified by Finance, which may be based on the payment provider's documented conversion or another approved reference rate.

Employees must not select an arbitrary exchange rate or adjust converted amounts to increase reimbursement.

Foreign transaction fees may be reimbursed when they are directly associated with an eligible business expense and supported by appropriate documentation.

12. Corporate Cards and Direct Payments

Employees issued a company payment card must use it only for authorized business expenses.

Corporate card transactions must be recorded and reconciled according to the procedures established by Finance.

Employees must provide receipts and supporting information even when the company has paid the expense directly, if required for accounting or compliance purposes.

Expenses paid using a company card must not also be submitted as personal reimbursement claims.

Lost corporate cards, unauthorized transactions, or suspected card misuse must be reported immediately to the relevant financial institution and the company's designated contact, following the applicable procedure.

13. Lost Receipts and Exceptions

If an employee cannot provide a required receipt, the employee must explain the circumstances and submit alternative evidence where available.

Finance may request a signed declaration, payment confirmation, vendor statement, or other supporting information.

Approval of a missing-receipt exception is not automatic.

Exceptions to spending limits, documentation requirements, or standard procedures must be justified and approved by the appropriate authority.

Emergency circumstances may prevent advance approval. In such cases, employees must notify their manager as soon as practical and provide supporting information afterward.

Finance must document approved exceptions according to the company's internal procedures.

14. Expense Fraud and Misuse

Employees must submit honest, complete, and accurate reimbursement claims.

Prohibited conduct includes:

- Submitting the same expense more than once.
- Claiming personal expenses as business expenses.
- Falsifying or altering receipts.
- Inflating amounts or exchange rates.
- Misrepresenting the business purpose of a transaction.
- Dividing purchases to bypass approval thresholds.
- Claiming reimbursement for expenses already paid by the company.

Suspected fraud or deliberate misuse may be investigated and escalated to the appropriate internal function.

Improperly reimbursed amounts may be subject to recovery, and violations may result in disciplinary action in accordance with company procedures and applicable law.

Employees should report suspected reimbursement irregularities through the appropriate company reporting channel.

15. Recordkeeping and Confidentiality

Employees must retain receipts and other required documentation until the claim has been processed and any applicable recordkeeping requirements have been satisfied.

Finance maintains reimbursement records according to accounting, audit, privacy, and document-retention requirements.

Expense information must be accessed and shared only for legitimate business purposes.

Employees should avoid including unnecessary personal or sensitive information in reimbursement submissions.

Supporting documents must be stored and transmitted through approved company systems.

16. Responsibilities

Employees are responsible for incurring authorized expenses, obtaining required approvals, maintaining receipts, submitting accurate claims, and responding to requests for clarification.

Managers are responsible for reviewing the business justification of expenses, ensuring appropriate authorization, and approving or rejecting claims in a timely manner.

Finance is responsible for verifying reimbursement eligibility, reviewing documentation, maintaining financial records, processing approved payments, and communicating policy requirements.

Department directors are responsible for reviewing exceptions and higher-cost expenses when additional approval is required.

All participants must follow the company's financial controls and applicable legal requirements.

17. Policy Violations and Disputes

Employees who disagree with a reimbursement decision should first request clarification from Finance and provide any additional supporting documentation.

Finance may reconsider a claim when new information demonstrates that the expense meets the policy requirements.

Repeated failure to provide required documentation or comply with approval procedures may result in restrictions on expense privileges or other corrective action.

Serious or deliberate violations may be escalated under the company's disciplinary and compliance procedures.

Nothing in this policy overrides reimbursement obligations imposed by applicable law.

18. Review and Updates

Finance is responsible for reviewing this policy periodically and updating it when financial controls, business requirements, expense management systems, or applicable legal obligations change.

Employees should consult the current approved version before incurring or submitting expenses.

When this policy conflicts with a more specific approved policy, the applicable policy governing that expense category should be consulted. Legal requirements take precedence where applicable.

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